

BEFORE THE
FEDERAL MARITIME
COMMISSION

DOCKET NO. 22-18

COLOR BRANDS, LLC.

COMPLAINANT,

v.

AAF LOGISTICS, INC.

RESPONDENT.

**SUPPLEMENTAL DECLARATION OF DANIEL LUTZ IN SUPPORT OF COMPLAINANT'S
REQUEST FOR JUDGMENT; EXHIBIT**

I, Daniel Lutz, declare:

1. I am the Chief Operating Officer of Color Brands, LLC ("Color Brands") which is the Complainant in this matter. I am over the age of 18 years and make the following declaration upon my personal knowledge and upon the books and records of Color Brands over which I am a custodian. I submit this declaration in support of Color Brands' request for entry of a quantified judgment against Respondent. I would give competent testimony to the following if called upon to do so.
2. As the Chief Operating Officer, I am responsible for the day-to-day operations of Color Brands, including overseeing acquisition and distribution of products (soft drinks), finances, vendor relations and accounts payable and receivable.

3. Exhibit 1, previously provided, is a true and correct copy of Color Brands' spreadsheet that identifies the shipments with Respondent for the three year period referenced above.
4. Color Brands paid Respondent for cargo insurance on all of Color Brands' shipments. Over the referenced period of time, Complainant's stated shipment values totaled \$36,104,153.77. For the 1,221 shipments identified in the attached spreadsheet (Exhibit 1), Color Brands paid \$115,533.29 to Respondent for insurance against shipment values totaling \$36,104,153.77.
5. Respondent charged Color Brands for insurance coverage at the average rate of .32 of one percent of the shipment value of each of Color Brands' shipments. My original declaration states .032% which should be .0032 or .32 of one percent. This typographical error does not change the amounts paid and sought herein.
6. As previously stated, except for three occasions referenced below, AAF did not provide proof of insurance despite request and ultimately admitted it did not procure cargo insurance for Color Brands shipments. In my prior declaration, Color Brands identified and gave credit (\$649) due for those three occasions.
7. Per the FMC's request, attached as Exhibit 10 is the listing of the shipments that are subject to the Color Brands request for premium reimbursement. It is a restatement of Exhibit 1 with additional information.
8. Exhibit 10 adds the port of loading for each shipment, as well as AAF's place of receipt under its bill of lading for each shipment.
9. Each shipment included in Exhibit 10 originated in the United States of America, except those fourteen (14) shipments that are highlighted in red and which are restated at the bottom of Exhibit 10. Specifically, the non-U.S. originating shipments are those under Order numbers 2217, 2292, 2540, 3261, 4771, 4793, 4988, 5533, 5618, 5929, 5930, 6524, 7065 and 7107 .
10. Except for these 14 shipments, AAF issued a through bill of lading from the U.S. place of receipt identified in Exhibit 10 to the identified port of destination.

11. Exhibit 11 are true and correct copies of exemplar AAF through bills of lading for shipments originating from Vancouver (Order 4007), Prince Rupert (Order 4577), Montreal (Order 4708) and Halifax (7803).
12. Complainant believes the FMC has jurisdiction over all the insurance premium claim shipments against AAF, a U.S. licensed NVOCC who collected the premiums in the U.S., charged a U.S. shipper. As to all but the 14 shipments, AAF also issued through intermodal bills of lading from a U.S. place of receipt.
13. Nevertheless, if the FMC lacks jurisdiction over the 14 non-U.S. originating shipments identified in paragraph 9 (and in red on Exhibit 10), then their combined value was \$548,304.47. At the average insurance rate of .32 of one percent, the insurance premium amount totals \$1,754.57. If this reduction applies, then the principal insurance premium claim is reduced to \$113,129.72.
14. On April 10, 2024, I placed a copy of this declaration and its exhibits into an envelope with first class postage paid. The envelope was addressed to AAF Logistics, Inc., 17700 Castleton St., Unit 363, City of Industry, CA 91748 and mailed to Respondent on April 10, 2024. An email copy was sent on this same day to Charles Pok at Charlespok@aol.com.

I declare under the penalties of perjury under the laws of the United States that the foregoing is true and correct.

Dated this 10 day of April 2024 at Chicago, Illinois.



Daniel Lutz
Chief Operating Officer of Color
Brands, LLC